FICTIONAL PROTOTYPE · Fictional organisation · Test-fixture figures, not an approved score · Not a certified paid report

MK FRAUD INSIGHTS

ESSENTIAL FRAUD READINESS REPORT

On its own answers, the organisation reports the controls in place for 48 of the 106 fraud scenarios that apply and a control reported as a gap in 58.

CALCULATED TEST RESULT
55.5 of 100, test fixture

UNRESOLVED INCONSISTENCIES
None found

PROVISIONAL MANAGEMENT INTERPRETATION
58 with a control reported as a gap

APPROVED READINESS CONCLUSION
None issued

PREPARED FOR

Fictional Retail Group (mixed controls)

Assessment reference · FX-P3

Assessment date · 12 November 2026

CONFIDENTIAL · PREPARED FOR THE MANAGEMENT OF FICTIONAL RETAIL GROUP (MIXED CONTROLS)

WHAT DOES THE ASSESSMENT ESTABLISH?

What the assessment establishes

CALCULATED TEST RESULT

55.5 of 100, test fixture

From a research simulation of the draft method, kept for traceability. It is not a score, a maturity band or a readiness level.

UNRESOLVED INCONSISTENCIES

None found

None found in the 1 pair of answers compared. Most related practices were not asked, so this is not a finding that every answer is consistent.

PROVISIONAL MANAGEMENT INTERPRETATION

58 with a control reported as a gap

On its own answers, the organisation reports the controls that stop the scenario in place for 48 of the 106 fraud scenarios that apply, and a control reported as a gap in 58. This reads self-reported answers; nothing has been tested.

APPROVED READINESS CONCLUSION

None issued

MK has not approved a readiness method, band or threshold, so no readiness conclusion is drawn from the answers or from the calculated test result.

106 fraud scenarios apply to the organisation. The core and breadth stages are complete: 108 of the 108 confirmations that apply were answered, and no question is outstanding. Area figures below are calculated test results from the same research simulation, shown in the method's order; they are not scores and do not rank the areas.

Calculated area figures (test fixtures)



Areas in the method's order. Each figure is a calculated test result from a research simulation of the draft method: not a score, a band or a ranking.

WHAT DO THE ANSWERS SHOW?

What the answers show

PATTERN	ASSESSMENT SIGNALS	WHY IT MATTERS
Ethics, integrity and anti-corruption: 1 scenario with a control reported as a gap	Recipients checked for links **Partly in place**	A payment to a cause linked to a decision-maker buys influence.
Third parties and supply chain: 12 scenarios with a control reported as a gap	New supplier process **Partly in place** Change confirmed with supplier **Partly in place** Familiar caller still verified **Not in place**	Fictitious suppliers enter through onboarding that can be skipped. The area also has: supplier payments are diverted through changed bank details and a supplier is set up with an account it does not own, and 9 more in the register.
People, payroll and insider risk: 11 scenarios with a control reported as a gap	Bank changes confirmed with employee **Not in place** Payroll reviewed by another person **Partly in place** Leavers removed before next run **Partly in place**	Salary redirection through fake bank change requests is common and fast. The area also has: ghost employees are paid and leavers stay on the payroll, and 8 more in the register.
Customers, revenue and products: 10 scenarios with a control reported as a gap	Refunds approved independently **Partly in place** Customer detail changes verified **Partly in place** Application documents verified **Partly in place**	Refunds processed and approved by one person are a classic way to steal. The area also has: customer details are changed to divert money or goods and credit is obtained with fabricated documents, and 7 more in the register.
1 scenario: control in place, a related practice weaker	Training on joining **Partly in place**	Where the relationship has been reviewed, the related practice is a further defence and the reported control stands as given. Where it has not, nothing is concluded from it. Each pair is in the register.

THE PATTERN THAT MATTERS

Where a control was reported fully in place and a related practice of the same scenario weaker, the two answers were compared using MK's reviewed relationships: 1 pair in 1 scenario. 1 pair is a further defence and the reported control stands as given. Separately, 5 of 32 controls that can be cross-checked were asked one further question; these compare the organisation's own answers, are not tests of operation and change no figure. 2 further areas have scenarios with a control reported as a gap, listed in the register.

WHICH FRAUD SCENARIOS DO THE ANSWERS POINT TO?

Fraud scenarios the answers point to

FRAUD SCENARIO	ASSESSMENT BASIS	POTENTIAL CONSEQUENCE	INTERRUPTION POINT	WHY IT IS INCLUDED
Donations or sponsorships channel bribes A payment to a cause linked to a decision-maker buys influence.	Recipients checked for links **Partly in place**	The method links it to donations and sponsorships used as disguised bribes and undeclared conflicts of interest steering decisions.	Recipients of donations and sponsorships are checked for links to officials, customers and employees before money is committed	**Control partly in place** The control that stops it is reported as a gap.
A fictitious supplier is created and paid An insider or outsider adds a supplier that does not exist and invoices it.	New supplier process **Partly in place**	Fictitious suppliers enter through onboarding that can be skipped.	Every new supplier passes set checks, including registration, tax number, bank account and directors, and is approved before it can be paid	**Control partly in place** The control that stops it is reported as a gap.
Salaries are redirected through a fake bank change A request that appears to come from an employee changes where their salary is paid.	Bank changes confirmed with employee **Not in place**	Salary redirection through fake bank change requests is common and fast.	Every employee bank detail change is confirmed through a channel the organisation starts before it takes effect	**Control not in place** The control that stops it is reported as a gap.
Refunds are stolen One person raises and approves refunds or credit notes to themselves or accomplices.	Refunds approved independently **Partly in place**	Refunds processed and approved by one person are a classic way to steal.	Every refund and credit note is approved by someone other than the person who processes it	**Control partly in place** The control that stops it is reported as a gap.
Cash takings are stolen Takings are under-recorded or removed before banking.	Daily reconciliation **Partly in place**	Daily reconciliation of takings is the main control over cash theft.	Takings at every cash point are reconciled to sales records daily, and every shortage and surplus is investigated	**Control partly in place** The control that stops it is reported as a gap.

Included: every scenario whose answers must be settled or clarified (up to three), then one scenario with a control reported as a gap from each area, in the method's order, up to five in all. Inclusion and order are not a ranking: MK has not approved a method for rating fraud risks, and every scenario is in the register.

HOW COULD THESE SCENARIOS OCCUR?

How these scenarios could occur here

Donations or sponsorships channel bribes

A payment to a cause linked to a decision-maker buys influence › Recipients checked for links partly in place › Donations and sponsorships used as disguised bribes

A payment to a cause linked to a decision-maker buys influence. Here, recipients checked for links: partly in place.

Interrupted by: Until the control operates, the ethics lead checks new cases by hand. The target: before any donation or sponsorship is committed, the recipient is checked for links to public officials, customers' decision-makers and employees, and any link found is disclosed and approved.

Warning signs: Donations and sponsorships used as disguised bribes · Undeclared conflicts of interest steering decisions

A fictitious supplier is created and paid

An insider or outsider adds a supplier that does not exist and invoices it › New supplier process partly in place › Fictitious or shell suppliers

An insider or outsider adds a supplier that does not exist and invoices it. Fictitious suppliers enter through onboarding that can be skipped. Here, checks happen only when someone thinks to do them.

Interrupted by: Until the control operates, the procurement lead checks new cases by hand. The target: every new supplier passes set checks, including registration, tax number, bank account and directors, and is approved before it can be paid.

Warning signs: Fictitious or shell suppliers

Salaries are redirected through a fake bank change

A request that appears to come from an employee changes where their salary is paid › Bank changes confirmed with employee not in place › Salary redirection through changed bank details

A request that appears to come from an employee changes where their salary is paid. Salary redirection through fake bank change requests is common and fast. Here, bank detail changes are made as requested.

Interrupted by: Until the control operates, the HR and payroll lead checks new cases by hand. The target: every change to an employee's bank details is confirmed through a channel the organisation starts, such as a call to a number on file or in person, before it takes effect.

Warning signs: Salary redirection through changed bank details

These are illustrative exposure mechanisms for an organisation with the controls it reported. They are not allegations that any event has occurred, and their order is not a ranking.

WHAT SHOULD MANAGEMENT ADDRESS?

Management matters requiring attention

MANAGEMENT OUTCOME	WHY NOW	ACCOUNTABLE	WHAT GOOD LOOKS LIKE
Name an owner for each area and decide the order of work	MK has not approved a method for rating fraud risks, so this report does not rank the 58 scenarios with a gap. Their order is management's decision, made on explicit factors.	Chief executive	Each area has one accountable executive, and the order of work is recorded with its factors: the control's position, whether money or goods can leave, activity volume, detective cover and controls shared.
Put in place: recipients checked for links	It stops the scenario where donations or sponsorships channel bribes. The control is reported as partly in place.	Ethics lead	Before any donation or sponsorship is committed, the recipient is checked for links to public officials, customers' decision-makers and employees, and any link found is disclosed and approved.
Put in place: new supplier process	It stops the scenario where a fictitious supplier is created and paid. The control is reported as partly in place.	Procurement lead	Every new supplier passes set checks, including registration, tax number, bank account and directors, and is approved before it can be paid.
Put in place: bank changes confirmed with employee	It stops the scenario where salaries are redirected through a fake bank change. The control is reported as not in place.	HR and payroll lead	Every change to an employee's bank details is confirmed through a channel the organisation starts, such as a call to a number on file or in person, before it takes effect.
Put in place: refunds approved independently	It stops the scenario where refunds are stolen. The control is reported as partly in place.	Commercial and customer lead	Every refund and credit note is approved by someone other than the person who processes it.
Put in place: daily reconciliation	It stops the scenario where cash takings are stolen. The control is reported as partly in place.	Operations lead	Takings at every cash point are reconciled to sales records daily, and every shortage and surplus is investigated.

Listed in the order the work depends on: facts and decisions first, then the controls for the scenarios above, in the method's area order. The list is not a risk ranking.

WHAT COULD THE FIRST 90 DAYS COVER?

Proposed stages for the first 90 days

These are proposed planning stages for starting the work, not deadlines, contractual dates or estimates. Each window shows when a stage could begin once what it depends on is known and decided. How long a control takes to design, put in place and show to be operating depends on the organisation, and management sets its own dates.

30 days, proposed: establish the facts and owners

PROPOSED WINDOW · 0–30 DAYS

Answers that conflict are settled, open questions and outstanding answers are answered, and each area with open scenarios has an accountable executive.

Name the accountable executive for each area, and decide the order of work using explicit factors. — Chief executive

Named executives and a recorded order of work, with the factors behind it.

Complete when: Every open scenario is selected, deferred with a reason or accepted at the right level.

60 days, proposed: approve designs and begin

PROPOSED WINDOW · 31–60 DAYS

Approved designs exist for the controls management selected, and the first are being put in place.

Approve the target design for each selected control, using the target practice, records and measure in the register, and begin putting the first designs in place. — Each accountable executive

Approved designs, each with an owner and the records it will keep.

Complete when: Each selected control has an approved design and a named owner.

90 days, proposed: start operating and report

PROPOSED WINDOW · 61–90 DAYS

The first approved controls have started operating and the oversight body has the status of every open scenario. Whether a control works is known only after its first full cycle, which for many controls ends after 90 days.

Start operating the approved designs, and begin each control's first full operating cycle. — Each process owner

A start date and an operating record for each control.

Complete when: Each control has started operating; its success measure is checked when its first full cycle ends.

Report the status of each open scenario to the board. — Chief executive

A one-page status per scenario: owner, controls in place, controls outstanding, next step.

Complete when: The status is received and minuted.

HOW WILL MANAGEMENT KNOW THE WORK IS TAKING EFFECT?

What to check at the 90-day point

MEASURE	POSITION TODAY	90-DAY EXPECTATION
Recipients checked for links	Recipients checked for links: partly in place.	Design approved and operating started. After its first full cycle: every donation or sponsorship in the period has a donation approval file showing the link checks completed and approved before money was committed.
New supplier process	Checks happen only when someone thinks to do them.	Design approved and operating started. After its first full cycle: every new supplier in the period has a supplier set-up file showing each check passed and an approval dated before the first payment.
Bank changes confirmed with employee	Bank detail changes are made as requested.	Design approved and operating started. After its first full cycle: every change to an employee's bank details made in the period was confirmed through a channel the organisation started before it took effect, or is a recorded and approved exception.
Open scenarios with a named owner and a decision	None recorded in the assessment (58 open).	Each selected, deferred with a reason or accepted at the right level.

Management conclusion

On its own answers, Fictional Retail Group (mixed controls) reports the controls in place for 48 of 106 fraud scenarios and a control reported as a gap in 58, across 6 areas. MK has not approved a readiness method, so this report draws no readiness conclusion and does not rank fraud risks; the order of the remaining work is management's decision, and the supporting register lists every scenario, control and record behind this report.

This report is based on the organisation's own answers to the MK Fraud Readiness review, given by the respondent and the accountable functions named in it, and read against the draft review method, which MK has not yet approved. MK has not independently tested whether controls operate in practice, and no evidence was reviewed; evidence review is a separate Advisory service. The records named in this report are records management should maintain; MK has not requested or examined them. TEST FIXTURE: hypothetical research value (scoring-frame simulation, Option A, midpoint, equal areas, no caps). Not an approved score, band or rating.